FOR IMMEDIATE RELEASE

Positive uptake of general insurance in 2021, as endemic COVID-19 prompted consumers to safeguard their assets against evolving risks

The general insurance sector looks to step up the fight against insurance fraud and remains watchful of potential rise in insurance fraud and motor claims as activities resume to pre-pandemic levels.

SINGAPORE, 24 March 2021 – The General Insurance Association of Singapore (GIA) today announced that the sector achieved stable growth with 8 per cent annual growth in gross written premiums, totaling S$4.42 billion as of 31 December 2021. The sector's growth was driven by a strong uptake across its top five business segments, with the property segment showing the biggest double-digit increase.

In 2021, the sector ensured protection for a population that is transitioning to an endemic COVID-19 with the resumption of key economic and social activities in the new normal. The sector ended the year with a pay-out of S$84.3 million more in claims compared to the previous pandemic year for three of its largest segments – motor, health, and employer's liability – which represent half of the general insurance market. In total, the sector paid out S$1.24 billion in claims across all segments for the year.

Despite more claims being paid out in motor, health and employers' liability, the sector recorded an underwriting profit of S$262.7 million overall.

	Gross Written Premium (S$'000)	Market Share (%)
Motor	1,154,470	26%
Health	746,459	17%
Property	715,364	16%
Employer's Liability	399,336	9%
Personal Accident	173,716	4%
Travel	48,445	1%

Figure 1: Gross written premiums and market share of the top consumer segments

	Underwriting Performance FY2020 (S$'000)	Underwriting Performance FY2021 (S$'000)	Increase / (Decrease) (S$'000)
Motor	104,529	49,697	(54,832)
Health	17,872	(5,084)	(22,956)
Property	43,733	41,946	(1,787)
Employer's Liability	40,997	29,865	(11,132)
Personal Accident	28,116	24,489	(3,627)
Travel	5,156	8,331	3,175

Figure 2: Underwriting performance across the top consumer segments

GIA also announced the appointment of its new management committee at the association's Annual General Meeting (AGM) this morning to reflect the next phase of the sector's transformative journey.

The GIA Management Committee re-elected Mr. Ronak Shah as President, and Mr. Christian Sandric as Vice-President. Mr. Jimmy Tong and Ms. Joanne Huang were also re-elected as Honorary Secretary and Honorary Treasurer respectively.

GIA Management Committee 2022 - 2024		
Office Bearers		**Member Company**
President	Mr. Ronak Shah	QBE Insurance (Singapore) Pte Ltd
Vice-President	Mr. Christian Sandric	AIG Asia Pacific Insurance Pte Ltd
Honorary Secretary	Mr. Jimmy Tong	Great Eastern General Insurance Limited
Honorary Treasurer	Ms. Joanne Huang	Tokio Marine Insurance Singapore Ltd
Management Committee Members		
Member	Mr. Hicham Raissi	Allianz Insurance Singapore Pte Ltd
Member	Mr. Khor Kee Eng	FWD Singapore Pte. Ltd.
Member	Mr. Kaiwan Moradian	Liberty Insurance Pte Ltd
Member	Mr. Mack Eng	MSIG Insurance (Singapore) Pte. Ltd.
Member	Mr. Andrew Yeo	NTUC Income Insurance Co-Operative Ltd

"The evolving COVID-19 situation continues to demonstrate why the work of the general insurance sector is essential – to protect what people value most. General insurers continue to answer the call of duty to safeguard consumers' interests during disruptive times, from COVID-19 financial relief measures to participating in a multi-agency insurance workgroup to discuss the provision of COVID-19 cover in key products such as travel insurance," said GIA President, Mr. Shah.

"For 2022 and beyond, cyber risks and sustainability will become increasingly pertinent issues for the sector. 2021 has been a year of laying down the foundation for closer collaboration and partnerships. In 2022, our dialogue and initiatives in place will move talk to action to urgently address these increasingly worrying risks and our policyholders' changing protection needs. As we step into 2022 with greater optimism, our efforts will be focused on driving forward-looking developments with purpose, innovation, and collaboration at the core."

Looking forward: Turning greater focus towards insurance fraud

The general insurance sector also looks to step up the fight against fraud, which tripled from 2018 to 2020[1]. Fraudulent activities have also increased further into 2021 and the trend may potentially continue and increase in 2022. With business and social activities resuming to pre-pandemic levels, the sector is also focused on monitoring fraudulent activity in the motor insurance segment and are actively continuing to strengthen its processes to combat fraud in the segment.

The late-2021 prosecution of an individual who defrauded 12 insurance companies of S$30,900[2] in fraudulent travel insurance claims was a successful cumulation of collaborative efforts between GIA members and Singapore's enforcement agencies. The case is a testament to the effectiveness of the

[1] *The Straits Times (10 Jan 2022): Reports of insurance fraud tripled between 2018 and 2020: Shanmugam: https://www.straitstimes.com/singapore/politics/reports-of-insurance-fraud-tripled-between-2018-and-2020-shanmugam*
[2] *The Straits Times (17 Nov 2021): Singaporean jailed over bogus baggage delay claims that paid her nearly $31,000: https://www.straitstimes.com/singapore/courts-crime/spore-woman-jailed-over-bogus-baggage-delay-claims-to-insurance-firms-that*

GIA Fraud Management System and the role of special insurance investigators to detect insurance fraud. The GIA Fraud Management System employs data analytics and artificial intelligence to detect fraud cases at scale for motor and travel insurance.

As the world opens up even more, the sector remains vigilant to fraudulent activity. GIA intends to use learnings from these fraud mitigation experiences and successes to further improve processes. One of the improvement areas the sector is exploring is in expanding the scope of the GIA Fraud Management System to bring more fraud cases to light.

Other sector-led initiatives for 2022

- **Working alongside the Ministry of Manpower to implement enhanced medical insurance (MI) coverage for Work Permit and S Pass holders**. The sector will work in partnership with the ministry to ensure seamless implementation of the enhanced MI model and will have suitable products ready by end 2022.

- **Collectively elevating the culture and conduct standards in Singapore's insurance industry with our life insurance and reinsurance counterparts** will also gain momentum with the release of new reports focusing on people, performance, and processes that were officially released on 22 March 2022.

- **Instilling greater travel confidence for both inbound and outbound travellers** will continue to be a key focus for the sector, in line with greater VTL (Vaccinated Travel Lane) expansion.

- **Placing increasing importance on the sustainability agenda will provide an opportunity for more purposeful growth** for the sector. The Association is committed to progressing the mandate of the green finance taskforce and committees it is a part of, by playing a role in expanding the sector's capacity building programmes through widening channels of training providers and through close collaboration with the Singapore College of Insurance.

Motor insurance: Rise in traffic accidents as more activities resumed

The motor insurance segment recorded flat growth in 2021 recording S$1.15 billion in gross written premiums for the financial year, a 2.7 per cent increase compared to the previous year. Underwriting profit stood at S$49.7 million at the end of the year.

The segment incurred an 8.3 per cent, or S$42.1 million, increase in total claims paid out as more activities resumed. The number of fatal accidents had risen by 25 per cent from 80 cases in 2020 to 100 cases in 2021[3]. Injuries due to road accidents also increased. While the number of fatal accidents was still lower than the pre-pandemic total in 2019, GIA urges motorists to continue to stay vigilant and practice good road safety habits.

Motor claims is expected to increase in the coming year as Singapore navigates towards an endemic new normal. In view of this anticipated trend, GIA is also committed to facilitating a more seamless accident reporting process to protect motorists.

[3] *The Straits Times (14 Feb 2022): Fatal road accidents in S'pore up 25% as more activities resume: https://www.straitstimes.com/singapore/courts-crime/more-people-died-or-got-hurt-on-spore-roads-in-2021-as-more-activities-resumed?login=true*

Health insurance: Continuation of upward claims trend

The sector paid out 7.5 per cent, or S$21.6 million, more in health insurance claims in 2021, which contributed to the segment recording an underwriting loss of S$5 million.

The segment also experienced a 7.8 per cent increase to S$746.5 million in gross written premiums as the health of employees remains a key priority for corporations.

Managing healthcare inflation continues to be a shared concern between GIA and key stakeholders including Life Insurance Association, Singapore (LIA Singapore) and the Ministry of Health (MOH).

Property insurance: Now the third largest general insurance segment in Singapore

The property segment saw a 20.9 per cent increase in gross written premiums, buoyed by the thriving Singapore's property space. Singapore's commercial real estate investment volume experienced a triple-digit increase in 2021[4].

With construction activities progressively ramping up, a continued upward trend for the property insurance segment can be expected.

Other segment updates

Employers' liability insurance recorded S$399.3 million in gross written premiums in 2021, a 4.7 per cent increase from last financial year, with underwriting profit at S$29.9 million. The sector paid out 13.7 per cent, or S$20.6 million, more in claims in 2021, as rate of workplace injuries increased to become more comparable to pre-COVID levels when workplace activities resumed[5].

Personal accident insurance recorded S$173.7 million in gross written premiums, a 3.5 per cent increase compared to the year before.

Travel insurance saw a 15.7 per cent decrease and recorded S$48.5 million in gross written premiums in 2021. This is an expected trend considering limited travel activity in the first half of 2021.

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Note to the Editor:

- The statistics provided in this press release represent the domestic performance (Singapore Insurance Fund) of the general insurance sector and does not include offshore policies (Offshore Insurance Fund).

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[4] The Business Times (10 Feb 2022): Singapore commercial real estate investment volume bounces back in 2021, sees triple-digit increase: report: https://www.businesstimes.com.sg/real-estate/singapore-commercial-real-estate-investment-volume-bounces-back-in-2021-sees-triple

[5] CNA (8 Oct 2021): Workplace injuries in first half of 2021 comparable to pre-COVID-19 levels, but fatal accidents a 'cause for concern': MOM: https://www.channelnewsasia.com/singapore/workplace-injuries-first-half-2021-pre-covid-19-levels-mom-2230331

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About the General Insurance Association of Singapore

Established in 1966, the General Insurance Association of Singapore (GIA) is the general insurance industry's trade association whose membership comprises Ordinary Members licensed by the Monetary Authority of Singapore (MAS) to transact general insurance business in Singapore.

As a trade association, GIA works to make all aspects of insurance easier and more effective for consumers, agents and insurance companies in Singapore. It helps identify emerging trends and responds to issues affecting the general insurance industry and seeks to promote the overall growth and development of the sector in Singapore.

For more information: www.gia.org.sg

For a list of general insurance companies: https://gia.org.sg/consumers/about/member-directory.html

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